This sample document is the work product of a national coalition of attorneys who specialize in venture capital financings, working under the auspices of the NVCA. This document is intended to serve as a starting point only, and should be tailored to meet your specific requirements. This document should not be construed as legal advice for any particular facts or circumstances. Note that this sample document presents an array of (often mutually exclusive) options with respect to particular deal provisions.

TERM SHEET

Preliminary Note

This term sheet maps to the NVCA Model Documents, and for convenience the provisions are grouped according to the particular Model Document in which they may be found. Although this term sheet is perhaps somewhat longer than a "typical" VC Term Sheet, the aim is to provide a level of detail that makes the term sheet useful as both a road map for the document drafters and as a reference source for the business people to quickly find deal terms without the necessity of having to consult the legal documents (assuming of course there have been no changes to the material deal terms prior to execution of the final documents).

TERM SHEET
FOR SERIES A PREFERRED STOCK FINANCING OF
[*INSERT COMPANY NAME*], INC.
[____ __, 20__]

This Term Sheet summarizes the principal terms of the Series A Preferred Stock Financing of [_____], Inc., a [Delaware] corporation (the "**Company**"). In consideration of the time and expense devoted and to be devoted by the Investors with respect to this investment, the No Shop/ Confidentiality [and Counsel and Expenses] provisions of this Term Sheet shall be binding obligations of the Company whether or not the financing is consummated. No other legally binding obligations will be created until definitive agreements are executed and delivered by all parties. This Term Sheet is not a commitment to invest, and is conditioned on the completion of due diligence, legal review and documentation that is satisfactory to the Investors. This Term Sheet shall be governed in all respects by the laws of [_____the].[1]

Offering Terms

Closing Date:	As soon as practicable following the Company's acceptance of Term Sheet and satisfaction of the Conditions to Closing ("**Closing**"). [*provide for multiple closings if applicable*]
Investors:	Investor No. 1: [_____] shares ([__]%), $[_____] Investor No. 2: [_____] shares ([__]%), $[_____] [as well other investors mutually agreed upon by Investors and the Company]
Amount Raised:	$[_____], [including $[_____] from the conversion of principal [and interest] on bridge notes].
Price Per Share:	$[_____] per share (based on the capitalization of the Compar set forth below) (the "**Original Purchase Price**").

[1] The choice of law governing a term sheet can be important because in some jurisdictions a term sheet that expressly states that it is nonbinding may nonetheless create an enforceable obligation to negotiate the terms set forth in the term sheet in good faith. Compare *SIGA Techs., Inc. v. PharmAthene, Inc.*, *Case No. C.A. 2627 ((Del. Supreme Court May 24, 2013)* (holding that where parties agreed to negotiate in good faith in accordance with a term sheet, that obligation was enforceable notwithstanding the fact that the term sheet itself was not signed and contained a footer on each page stating "Non Binding Terms"); *EQT Infrastructure Ltd. v. Smith*, *861 F. Supp. 2d 220 (S.D.N.Y. 2012); Stanford Hotels Corp. v. Potomac Creek Assocs., L.P., 18 A.3d 725 (D.C. App. 2011) with Rosenfield v. United States Trust Co.*, 5 N.E. 323, 326 (Mass. 1935) ("An agreement to reach an agreement is a contradiction in terms and imposes no obligation on the parties thereo."); *Martin v. Martin*, *326 S.W.3d 741 (Tex. App. 2010)*; *Va. Power Energy Mktg. v. EQT Energy, LLC*, *2012 WL 2905110 (E.D. Va. July 16, 2012)*. As such, because a "nonbinding" term sheet governed by the law of a jurisdiction such as Delaware, New York or the District of Columbia may in fact create an enforceable obligation to negotiate in good faith to come to agreement on the terms set forth in the term sheet, parties should give consideration to the choice of law selected to govern the term sheet.

Pre-Money Valuation: The Original Purchase Price is based upon a fully-diluted pre-mo valuation of $[_____] and a fullydiluted post-money valuation c [_____] (including an employee pool representing [__]% of fullydiluted post-money capitalization).

Capitalization: The Company's capital structure before and after the Closing is se forth on Exhibit A.

CHARTER

Dividends: [*Alternative 1:* Dividends will be paid on the Series A Preferred an asconverted basis when, as, and if paid on the Common Stock]

[*Alternative 2:* The Series A Preferred will carry an annual [__ cumulative dividend [payable upon a liquidation or redemption]. any other dividends or distributions, participation with Comr Stock on an as-converted basis.]

[*Alternative 3*: Non-cumulative dividends will be paid on the Se A Preferred in an amount equal to $[_____] per share of Serie Preferred when and if declared by the Board.]

Liquidation Preference: In the event of any liquidation, dissolution or winding up of the Company, the proceeds shall be paid as follows:

[*Alternative 1 (non-participating Preferred Stock)*: First pay [c times the Original Purchase Price [plus accrued dividends] [p declared and unpaid dividends] on each share of Series A Prefer (or, if greater, the amount that the Series A Preferred would rece on an as-converted basis). The balance of any proceeds shall distributed pro rata to holders of Common Stock.]

[*Alternative 2 (full participating Preferred Stock)*: First pay [c times the Original Purchase Price [plus accrued dividends] [p declared and unpaid dividends] on each share of Series A Prefer Thereafter, the Series A Preferred participates with the Comm Stock pro rata on an as-converted basis.]

[*Alternative 3 (cap on Preferred Stock participation rights)*: F pay [one] times the Original Purchase Price [plus accrued divider [plus declared and unpaid dividends] on each share of Serie Preferred. Thereafter, Series A Preferred participates with Comm Stock pro rata on an as-converted basis until the holders of Serie Preferred receive an aggregate of [_____] times the Orig Purchase Price (including the amount paid pursuant to the preced sentence)**.**]

A merger or consolidation (other than one in which stockholder the Company own a majority by voting power of the outstanc shares of the surviving or acquiring corporation) and a sale, le transfer, exclusive license or other disposition of all or substanti all of the assets of the Company will be treated as a liquidation ev (a "**Deemed Liquidation Event**"), thereby triggering payment of liquidation preferences described above [unless the holders of [_ % of the Series A Preferred elect otherwise]. [The Invest entitlement to their liquidation preference shall not be abrogated diminished in the event part of the consideration is subject to esc in connection with a Deemed Liquidation Event.]

Voting Rights: The Series A Preferred shall vote together with the Common St on an as-converted basis, and not as a separate class, except (i) long as [*insert fixed number, or %, or "any"*] shares of Serie Preferred are outstanding,] the Series A Preferred as a class shal entitled to elect [_____] [(_)] members of the Board (the "**Serie Directors**"), and (ii) as required by law. The Company's Certifi of Incorporation will provide that the number of authorized share Common Stock may be increased or decreased with the approval majority of the Preferred and Common Stock, voting together a single class, and without a separate class vote by the Common Sto

Protective Provisions: [So long as [*insert fixed number, or %, or "any"*] shares of Serie Preferred are outstanding,] in addition to any other vote or appro required under the Company's Charter or Bylaws, the Company not, without the written consent of the holders of at least [__]% the Company's Series A Preferred, either directly or by amendm merger, consolidation, or otherwise:

(i) liquidate, dissolve or windup the affairs of the Company effect any merger or consolidation or any other Deer Liquidation Event; (ii) amend, alter, or repeal any provisior the Certificate of Incorporation or Bylaws [in a manner adve to the Series A Preferred]; (iii) create or authorize the creatior or issue any other security convertible into or exercisable for equity security, having rights, preferences or privileges senio or on parity with the Series A Preferred, or increase authorized number of shares of Series A Preferred; (iv) purch or redeem or pay any dividend on any capital stock prior to Series A Preferred, [other than stock repurchased from forı employees or consultants in connection with the cessation of tl employment/services, at the lower of fair market value or co [other than as approved by the Board, including the approva [_____] Series A Director(s)]; or (v) create or authorize creation of any debt security [if the Company's aggreg indebtedness would exceed $[____][other than equipment lea or bank lines of credit][unless such debt security has received prior approval of the Board of Directors, including the appro of [_____] Series A Director(s)]; (vi) create or hold cap stock in any subsidiary that is not a wholly-owned subsidiary dispose of any subsidiary stock or all or substantially all of subsidiary assets; [or (vii) increase or decrease the size of Board of Directors].

Optional Conversion: The Series A Preferred initially converts 1:1 to Common Stocl any time at option of holder, subject to adjustments for st dividends, splits, combinations and similar events and as descri below under "Anti-dilution Provisions."

Anti-dilution Provisions: In the event that the Company issues additional securities a purchase price less than the current Series A Preferred convers price, such conversion price shall be adjusted in accordance with following formula:

[*Alternative 1:* "Typical" weighted average:

$$CP_2 = CP_1 * (A+B) / (A+C)$$

CP_2 = Series A Conversion Price in effect immediately a: new issue

CP_1 = Series A Conversion Price in effect immediately p to new issue

A = Number of shares of Common Stock deemed to outstanding immediately prior to new issue (inclu all shares of outstanding common stock, all share outstanding preferred stock on an as-converted ba and all outstanding options on an as-exercised ba and does not include any convertible securi converting into this round of financing)

B = Aggregate consideration received by the Corporat with respect to the new issue divided by CP_1

C = Number of shares of stock issued in the sub transaction]

[*Alternative 2:* Full-ratchet – the conversion price will be reducec the price at which the new shares are issued.]

[*Alternative 3*: No price-based anti-dilution protection.]

The following issuances shall not trigger anti-dilution adjustment:

(i) securities issuable upon conversion of any of the Serie Preferred, or as a dividend or distribution on the Series Preferred; (ii) securities issued upon the conversion of debenture, warrant, option, or other convertible security; Common Stock issuable upon a stock split, stock dividend, any subdivision of shares of Common Stock; and (iv) shares Common Stock (or options to purchase such shares of Comm Stock) issued or issuable to employees or directors of, consultants to, the Company pursuant to any plan approved the Company's Board of Directors [including at least [_____ Series A Director(s)].

Mandatory Conversion: Each share of Series A Preferred will automatically be converted i Common Stock at the then applicable conversion rate in the even the closing of a [firm commitment] underwritten public offering v a price of [___] times the Original Purchase Price (subject adjustments for stock dividends, splits, combinations and sim events) and [net/gross] proceeds to the Company of not less tha [_____] (a "**QPO**"), or (ii) upon the written consent of the hold of [__]% of the Series A Preferred.

[*Pay-to-Play:* [Unless the holders of [__]% of the Series A elect otherwise,] on subsequent [down] round all [Major] Investors are required purchase their pro rata share of the securities set aside by the Bo for purchase by the [Major] Investors. All shares of Series Preferred of any [Major] Investor failing to do so will automatic [lose anti-dilution rights] [lose right to participate in future rour [convert to Common Stock and lose the right to a Board sea applicable].]

Redemption Rights: Unless prohibited by Delaware law governing distributions stockholders, the Series A Preferred shall be redeemable at the opt of holders of at least [__]% of the Series A Preferred commenc any time after [_____] at a price equal to the Original Purch Price [plus all accrued but unpaid dividends]. Redemption s occur in three equal annual portions. Upon a redemption requ from the holders of the required percentage of the Series A Prefer all Series A Preferred shares shall be redeemed [(except for Series A holders who affirmatively opt-out)].

STOCK PURCHASE AGREEMENT

Representations and Warranties: Standard representations and warranties by the Compa [Representations and warranties by Founders regarding technol ownership, etc.]. [Representations and warranties regarding CFIU

[*Regulatory Covenants (CFIUS):* *To the extent a CFIUS filing is or may be required:* Investors and Company shall use reasonable best efforts to submit the propo transaction to the Committee on Foreign Investment in the Un States ("**CFIUS**") and obtain CFIUS clearance or a statement fi CFIUS that no further review is necessary with respect to the part [notice/declaration]]

[Notwithstanding the previous sentence, Investors shall have obligation to take or accept any action, condition, or restriction a condition of CFIUS clearance that would have a material adve impact on the Company or the Investors' right to exercise con over the Company.]

Conditions to Closing: Standard conditions to Closing, which shall include, among ot things, satisfactory completion of financial and legal due diligen qualification of the shares under applicable Blue Sky laws, the fi of a Certificate of Incorporation establishing the rights preferences of the Series A Preferred, [the obtaining of CFI clearance and/or a statement from CFIUS that no further reviev necessary,] and an opinion of counsel to the Company.

Counsel and Expenses: [Investor/Company] counsel to draft Closing documents. Comp to pay all legal and administrative costs of the financing [at Closi including reasonable fees (not to exceed $[_____])and expenses Investor counsel[, unless the transaction is not completed because Investors withdraw their commitment without cause].

Company Counsel: [_____
_____
_____]

Investor Counsel: [_____
_____
_____]

INVESTORS' RIGHTS AGREEMENT

Registration Rights:

Registrable Securities: All shares of Common Stock issuable upon conversion of the Seri A Preferred [and [any other Common Stock held by the Investors] will be deemed "**Registrable Securities**."

Demand Registration: Upon earliest of (i) [three-five] years after the Closing; or (ii) [months following an initial public offering ("**IPO**"), persons hold [__]% of the Registrable Securities may request [one][tv (consummated) registrations by the Company of their shares. aggregate offering price for such registration may not be less t $[5-15] million. A registration will count for this purpose only i all Registrable Securities requested to be registered are registe and (ii) it is closed, or withdrawn at the request of the Inves (other than as a result of a material adverse change to the Compan

Registration on Form S-3: The holders of [10-30]% of the Registrable Securities will have right to require the Company to register on Form S-3, if available use by the Company, Registrable Securities for an aggregate offe price of at least $[1-5 million]. There will be no limit on aggregate number of such Form S-3 registrations, provided that th are no more than [two] per year.

Piggyback Registration: The holders of Registrable Securities will be entitled to "piggyba registration rights on all registration statements of the Compa subject to the right, however, of the Company and its underwriter reduce the number of shares proposed to be registered to a minim of [20-30]% on a pro rata basis and to complete reduction on an at the underwriter's discretion. In all events, the shares to registered by holders of Registrable Securities will be reduced c after all other stockholders' shares are reduced.

Expenses: The registration expenses (exclusive of stock transfer ta underwriting discounts and commissions will be borne by Company. The Company will also pay the reasonable fees expenses[, not to exceed $_____,] of one special counsel represent all the participating stockholders.

Lock-up: Investors shall agree in connection with the IPO, if requested by managing underwriter, not to sell or transfer any shares of Comm Stock of the Company [(including/excluding shares acquired in following the IPO)] for a period of up to 180 days [plus up to additional 18 days to the extent necessary to comply with applica regulatory requirements] following the IPO (provided all direc and officers of the Company [and [1 – 5]% stockholders] agree to same lock-up). [Such lock-up agreement shall provide that discretionary waiver or termination of the restrictions of s agreements by the Company or representatives of the underwri shall apply to Investors, pro rata, based on the number of shares h

Termination:	Upon a Deemed Liquidation Event, [and/or] when all shares of Investor are eligible to be sold without restriction under Rule [and/or] the [____] anniversary of the IPO. No future registration rights may be granted without consent of holders of a [majority] of the Registrable Securities un subordinate to the Investor's rights.
Management and Information Rights:	A Management Rights letter from the Company, in a form reasona acceptable to the Investors, will be delivered prior to Closing to e Investor that requests one. Any [Major] Investor [(who is not a competitor)] will be grar access to Company facilities and personnel during normal busir hours and with reasonable advance notification. The Company deliver to such Major Investor (i) annual, quarterly, [and montl financial statements, and other information as determined by Board; (ii) thirty days prior to the end of each fiscal yea comprehensive operating budget forecasting the Compar revenues, expenses, and cash position on a month-to-month basis the upcoming fiscal year[; and (iii) promptly following the enc each quarter an up-to-date capitalization table. A "Major Invest means any Investor who purchases at least $[_____] of Serie Preferred.
Right to Participate Pro Rata in Future Rounds:	All [Major] Investors shall have a pro rata right, based on t percentage equity ownership in the Company (assuming conversion of all outstanding Preferred Stock into Common St and the exercise of all options outstanding under the Compar stock plans), to participate in subsequent issuances of eq securities of the Company (excluding those issuances listed at end of the "Anti-dilution Provisions" section of this Term Sheet. addition, should any [Major] Investor choose not to purchase its pro rata share, the remaining [Major] Investors shall have the righ purchase the remaining pro rata shares.

Matters Requiring Investor Director Approval:

[So long as the holders of Series A Preferred are entitled to ele Series A Director, the Company will not, without Board appro which approval must include the affirmative vote of [one/both] of Series A Director(s):

(i) make any loan or advance to, or own any stock or o securities of, any subsidiary or other corporation, partnership other entity unless it is wholly owned by the Company; (ii) m any loan or advance to any person, including, any employee director, except advances and similar expenditures in the ordir course of business or under the terms of a employee stock option plan approved by the Board of Directors; (iii) guaran any indebtedness except for trade accounts of the Company any subsidiary arising in the ordinary course of business; make any investment inconsistent with any investment po approved by the Board; (v) incur any aggregate indebtednes excess of $[_____] that is not already included in a Bo approved budget, other than trade credit incurred in the ordir course of business; (vi) enter into or be a party to any transac with any director, officer or employee of the Company or "associate" (as defined in Rule 12b-2 promulgated under Exchange Act) of any such person [except transactions resul in payments to or by the Company in an amount less t $[60,000] per year], [or transactions made in the ordinary co of business and pursuant to reasonable requirements of Company's business and upon fair and reasonable terms that approved by a majority of the Board of Directors]; (vii) hire, f or change the compensation of the executive officers, includ approving any option grants; (viii) change the principal busir of the Company, enter new lines of business, or exit the cur line of business; (ix) sell, assign, license, pledge or encum material technology or intellectual property, other than licer granted in the ordinary course of business; or (x) enter into corporate strategic relationship involving the paym contribution or assignment by the Company or to the Comp of assets greater than [$100,000.00].

Non-Competition and Non-Solicitation Agreements:

Each Founder and key employee will enter into a [one] year n competition and non-solicitation agreement in a form reasona acceptable to the Investors.

Non-Disclosure and Developments Agreement:

Each current and former Founder, employee and consultant will e into a non-disclosure and proprietary rights assignment agreemen a form reasonably acceptable to the Investors.

Board Matters: [Each Board Committee shall include at least one Series A Directo

The Board of Directors shall meet at least [monthly][quarter unless otherwise agreed by a vote of the majority of Directors.

The Company will bind D&O insurance with a carrier and in amount satisfactory to the Board of Directors. Company to e into Indemnification Agreement with each Series A Director [affiliated funds] in form acceptable to such director. In the event Company merges with another entity and is not the surviv corporation, or transfers all of its assets, proper provisions shall made so that successors of the Company assume the Compar obligations with respect to indemnification of Directors.

Employee Stock Options: All employee options to vest as follows: [25% after one year, v remaining vesting monthly over next 36 months].

[Immediately prior to the Series A Preferred Stock investm [_____] shares will be added to the option pool creating unallocated option pool of [_____] shares.]

[*Limitations on Pre-CFIUS-Approval Exercise of Rights:* Notwithstanding anything to the contrary contained in Transaction Agreements, Investors and the Company agree that a and following the initial Closing and until the CFIUS clearanc received, Investors shall not obtain (i) control (as defined in C.F.R. § 800.204) of the Company, including the power determine, direct or decide any important matters for the Compa (ii) access to any material nonpublic technical information defined in 31 C.F.R. § 801.208) in the possession of the Comp (which shall not include financial information about the Compar including access to any information not already in the public dom that is necessary to design, fabricate, develop, test, produce, manufacture Company products, including processes, techniques methods; (iii) membership or observer rights on the Board Directors of the Company or the right to nominate an individual position on the Board of Directors of the Company; or (iv) involvement (other than through voting of shares) in substan decisionmaking of the Company regarding the use, developm acquisition, or release of any of the Company's critical technolo (as defined in 31 C.F.R. § 801.204). To the extent that any tern the Transaction Agreements would grant any of these rights, (i)- to Investors, that term shall have no effect until such time as CFIUS clearance is received.]

[*Springing CFIUS Covenant:*	[In the event that CFIUS requests or requires a filing/in the event]], Investors and the Company shall use reasonable best efforts submit the proposed transaction to the Committee on Fore Investment in the United States ("**CFIUS**") and obtain CFI clearance or a statement from CFIUS that no further review necessary with respect to the parties' [notice/declaratic Notwithstanding the previous sentence, Investors shall have obligation to take or accept any action, condition, or restriction a condition of CFIUS clearance that would have a material adve impact on the Company or the Investors' right to exercise con over the Company.]
[*Limitations on Information Rights:*	Notwithstanding anything to the contrary contained in the St Purchase Agreement, the Charter, the Investors' Rights Agreem the Right of First Refusal And Co-Sale Agreement, and the Vot Agreement (all of the agreements above together being "**Transaction Agreements**"), Investors and the Company agree as of and following [Closing/the initial Closing], Investors shall obtain access to any material nonpublic technical information defined in 31 C.F.R. § 801.208) in the possession of the Comp (which shall not include financial information about the Compa including access to any information not already in the public dom that is necessary to design, fabricate, develop, test, produce, manufacture Company products, including processes, techniques methods.]
Key Person Insurance:	Company to acquire life insurance on Founders [*name e Founder*] in an amount satisfactory to the Board. Proceeds paya to the Company.

RIGHT OF FIRST REFUSAL/CO-SALE AGREEMENT

Right of First Refusal/ Right of Co-Sale (Take-Me-Along):	Company first and Investors second (to the extent assigned by Board of Directors,) will have a right of first refusal with respec any shares of capital stock of the Company proposed to transferred by Founders [and future employees holding greater t [1]% of Company Common Stock (assuming conversion of Prefe Stock and whether then held or subject to the exercise of option with a right of oversubscription for Investors of shares unsubscri by the other Investors. Before any such person may sell Comm Stock, he will give the Investors an opportunity to participate in s sale on a basis proportionate to the amount of securities held by seller and those held by the participating Investors.

VOTING AGREEMENT

Board of Directors: At the initial Closing, the Board shall consist of [_____] memb comprised of (i) [*name*] as [the representative designated by [__ as the lead Investor, (ii) [*name*] as the representative designated the remaining Investors, (iii) [*name*] as the representative designa by the Founders, (iv) the person then serving as the Chief Execu Officer of the Company, and (v) [___] person(s) who are employed by the Company and who are mutually acceptable [to Founders and Investors][to the other directors].

[*Drag Along*: Holders of Preferred Stock and the Founders [and all future hold of greater than [1]% of Common Stock (assuming conversion Preferred Stock and whether then held or subject to the exercise options)] shall be required to enter into an agreement with Investors that provides that such stockholders will vote their sha in favor of a Deemed Liquidation Event or transaction in which 5 or more of the voting power of the Company is transferred which is approved by [the Board of Directors] [and the holders ____% of the outstanding shares of Preferred Stock, on an converted basis (the "**Electing Holders**")], so long as the liability each stockholder in such transaction is several (and not joint) does not exceed the stockholder's pro rata portion of any claim the consideration to be paid to the stockholders in such transact will be allocated as if the consideration were the proceeds to distributed to the Company's stockholders in a liquidation under Company's then-current Certificate of Incorporation.]

[*Sale Rights:* Upon written notice to the Company from the Electing Holders, Company shall initiate a process intended to result in a sale of Company.]

OTHER MATTERS

Founders' Stock: All Founders to own stock outright subject to Company right buyback at cost. Buyback right for [__]% for first [12 months] a Closing; thereafter, right lapses in equal [monthly] increments o following [__] months.

[*Existing Preferred Stock:* The terms set forth above for the Series [_] Preferred Stock are subject to a review of the rights, preferences and restrictions for th existing Preferred Stock. Any changes necessary to conform the existing Preferred Stock to this term sheet will be made at the Closing.]

No Shop/Confidentiality: The Company agrees to work in good faith expeditiously towarc closing. The Company and the Founders agree that they will not, a period of [_____] weeks from the date these terms are accep take any action to solicit, initiate, encourage or assist the submiss of any proposal, negotiation or offer from any person or entity ot than the Investors relating to the sale or issuance, of any of capital stock of the Company [or the acquisition, sale, lease, lice or other disposition of the Company or any material part of the st or assets of the Company] and shall notify the Investors promptly any inquiries by any third parties in regards to the foregoing. [In event that the Company breaches this no-shop obligation and, p to [_____], closes any of the above-referenced transacti [without providing the Investors the opportunity to invest on same terms as the other parties to such transaction], then Company shall pay to the Investors $[_____] upon the closing any such transaction as liquidated damages.] The Company will disclose the terms of this Term Sheet to any person other t officers, members of the Board of Directors and the Compar accountants and attorneys and other potential Investors acceptabl [_____], as lead Investor, without the written consent of Investors.

Expiration: This Term Sheet expires on [_____ __, 20__] if not accepted by the Company by that date.

EXECUTED THIS [__] DAY OF [_____],20[___].

[SIGNATURE BLOCKS]

EXHIBIT A

Pre and Post-Financing Capitalization

	Pre-Financing		Post-Financing	
Security	# of Shares	%	# of Shares	%
Common – Founders				
Common – Employee Stock Pool Issued Unissued				
[Common – Warrants]				
Series A Preferred				
Total				